

Teaching Note

Promotions & Segments

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1. Platform Overview

1.1 Game Arena

The gaming arena interface comprises various decision tabs that includes market, market research, communication mix, campaigns, channels, Report, and Synopsis. Some sections must be completed first as they have an impact on other areas.

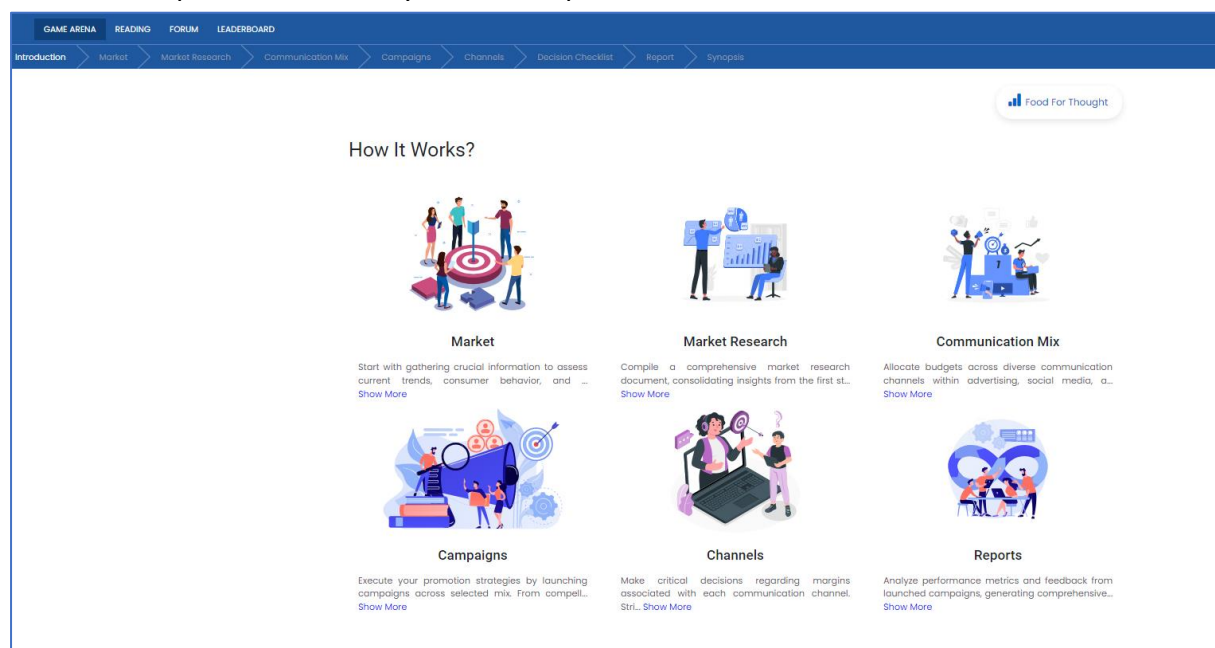


Figure 1 The Game arena

1.2 Readings

This section provides essential materials necessary for participants to actively engage in the game. The main reading material consists of a guide for decision-making, supplemented by optional additional resources chosen by instructors. Moreover, a walkthrough video is accessible, offering in-depth information about the scenario featured in the simulation. This video presents insights into the industry, ongoing trends, obstacles, and the diverse array of decisions required.

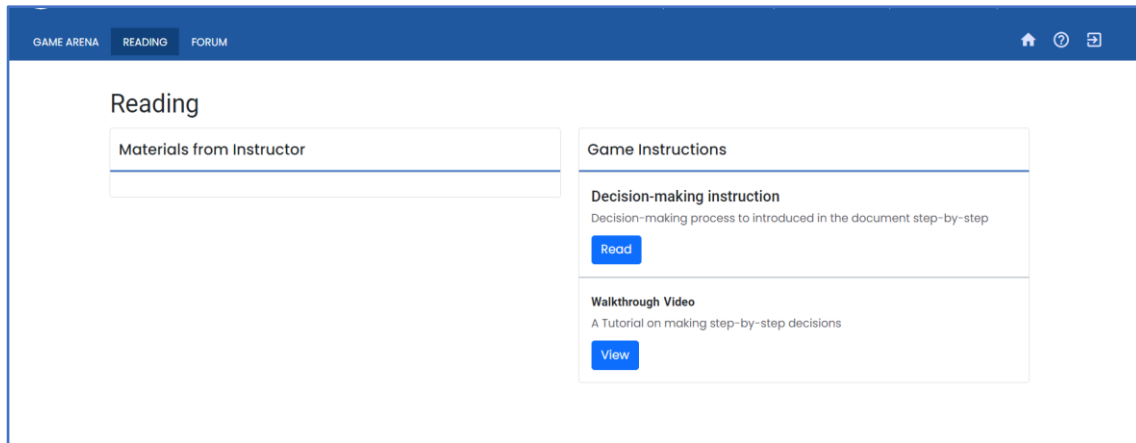


Figure 2 Reading Section in the platform

1.3 Forum

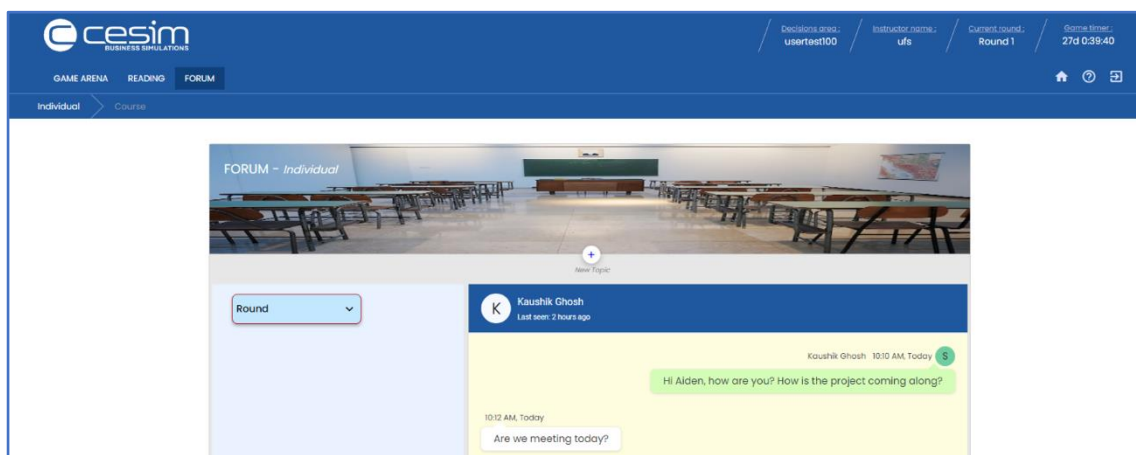


Figure 3 Forum Section in the platform

- The forums provide an excellent platform for participants to engage with their instructors or peers.
- There are two separate forums: the Individual Forum and the Course Forum. The Individual Forum allows participants to communicate directly with the instructor, while the Course Forum is accessible to all enrolled players.
- Instructors can view and respond to posts in both sections. Consequently, the Course Forum is an appropriate space for asking questions that can benefit the entire course, while the Individual Forum is the preferred channel for the individual to have a direct discussion with the professor.
- Participants will receive notifications for messages.

1.4 Main Objective & Winning Criteria

As a promotion strategist the company, the participant is tasked with thoroughly evaluating and testing campaigns to predict their effectiveness, understanding how various media channels interact, and recognizing the significance of consumer insights for positioning the products. Key responsibilities include leveraging data analysis to make informed decisions, allocating funds efficiently across media channels, and understanding the dynamics of channel relationships and their impact on business outcomes. The goal is to improve key performance indicators (KPIs), such as achieving an operating margin of 20% or higher and a return on advertising spend (ROAS) of 40% or more. Effective execution in these areas will drive business success and enhance the company's overall profitability.

1.5 Successful decision-making flow

The sequence of decision-making unfolds as follows:

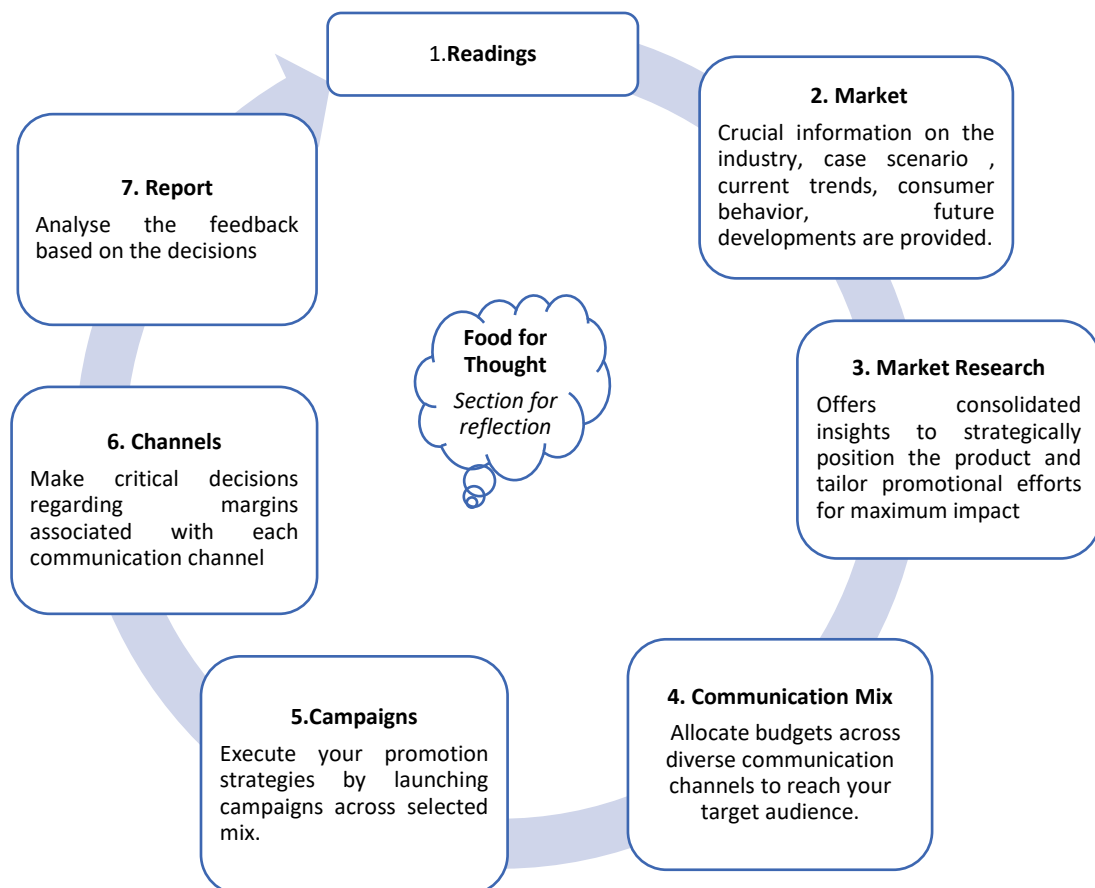


Figure 4 The sequence of decision making

2. Game Arena

2.1 Introduction

This page encompasses information detailing the functioning of the simulation and provides insights into each tab's decision-making.

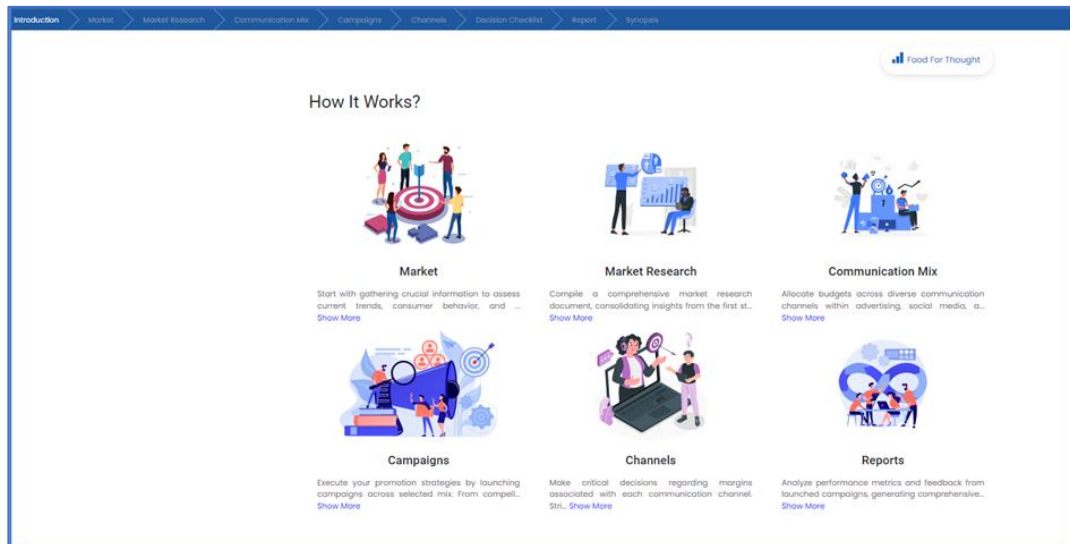


Figure 5 The Introduction Tab

2.2 Food for Thought

This segment provides crucial aspects to consider, offering valuable insights for decision-making.

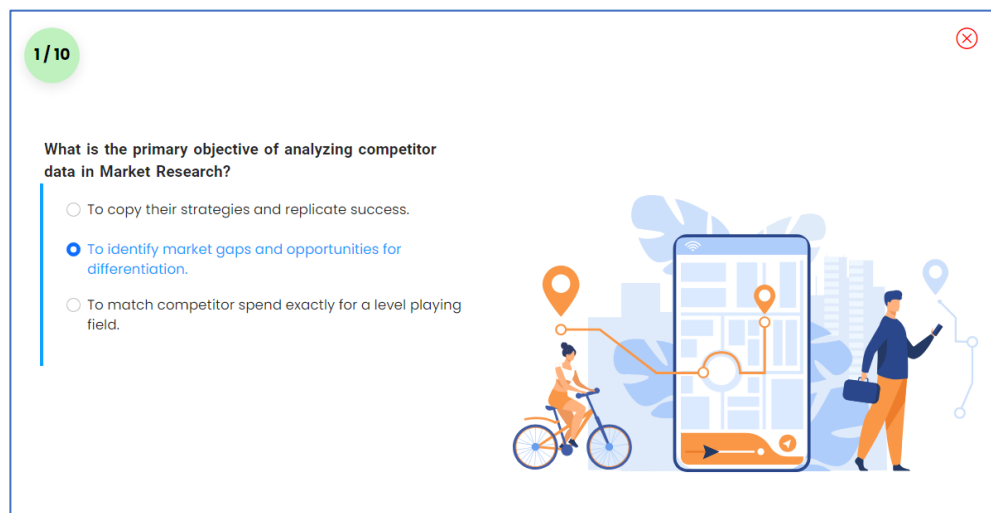


Figure 6 The food for thought Section in the simulation

2.3 Market

Prior to commencing the decision-making process, it is essential to carefully examine the "Market" section. This section offers vital information on case scenario, industry overview and the key parameters to consider when making decisions in each tab.

Summary of Market Section

Indian Beauty Market Overview

- Valued at USD 27.23 billion, showcasing robust growth potential.

Herbal Inc. Background:

- Founded in 2008, positioned as an organic product pioneer.
- Successfully navigated a competitive landscape dominated by traditional players.
- Shifted focus in 2015 to branding, outsourcing manufacturing, and expanding to 300 SKUs.

Role of Promotion Strategist:

- Oversee promotion for two new products: **Acne Face Cream (30g)** and **Apple Cider Face Wash (100 ml)**.
- Manage communication mix budget of **INR 10,000k**; vendor-provided quotes for other activities.
- Focus on **Return on Advertising Spend (ROAS)** across both offline and online channels.

Strategic Market Insights:

- Market research highlights competitor activity and consumer preference for organic products.
- Herbal Inc. faces tightening profit margins and increased competition, but strong branding and quick product launches are key advantages.
- **Channel Partner Margins:** Responsible for setting margins across three channel partner categories.
- **Branding Strategy:** Emphasis on eco-friendly, toxic-free, chemical-free, and paraben-free products. Incorporate environmental consciousness into all promotional materials. Position Herbal Inc. as a one-stop shop for beauty, skin, hair, and baby care needs.



Figure 7 The Market Tab

2.4 Market Research

The market research tab serves as a comprehensive repository of critical insights into market dynamics, competitor analysis, and spending patterns. It provides valuable perspectives on competitors' strategies, achievements, and the comparative standing of our company within the industry.

The Market Research tab is organized into three sections:

1. **Landscape:** This section furnishes detailed information about the key players in the industry, delivering a thorough overview of the competitive landscape.

Key Competitors in the Market:

1. **Glow Naturals (C1):** Focuses on natural beauty with influencer collaborations and a strong digital presence.
2. **Pure Essence (C2):** Known for organic formulations, promotes through traditional channels and beauty expert endorsements.
3. **EcoBeauty Solutions (C3):** Emphasizes eco-consciousness, aligning with sustainability trends in its promotions.

4. **Radiant Harmony (C4):** Offers a diverse skincare range, using traditional advertising and experiential marketing events.
5. **NaturGlo (C5):** A household name with strategic partnerships with beauty salons and exclusive offline events.
6. **BioBloom Elegance (C6):** Specializes in botanical formulations, with educational content as a key promotional strategy.
7. **VedaAura Wellness (C7):** Blends Ayurvedic wisdom with modern beauty, focusing on social media and wellness workshops.
8. **Enchant Bliss (C8):** Known for luxury beauty, using celebrity endorsements and high-profile events.

Herbal Inc.'s Comparative Performance (U):

- **Strengths:** Excelled in rapid product launches and leveraged strong branding.
- **Challenges:** Profit margins have decreased due to heightened competition.
- **Promotional Focus:** Digital promotions performed well, but there's a need to refine strategies to maintain profitability.

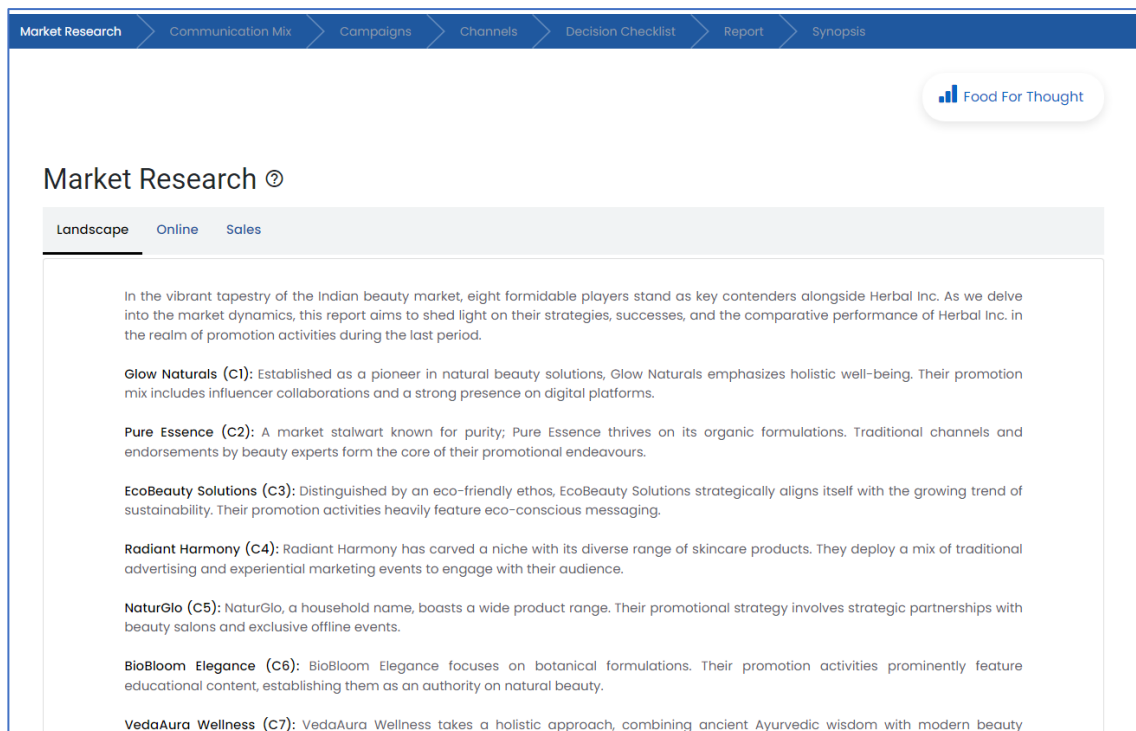


Figure 8 The Market Research Tab in the Platform

2. Online: Here, a deep dive is conducted into the digital marketing strategies employed by each company to attract customers. Insights encompass various avenues such as Google ads, email marketing, and social media subscriptions.



Figure 9 The information on online promotion provided under the Market Research

3. Sales: The sales tab offers intricate details on sales processes, including mediums through which sales occur and performance metrics. Sales data encompasses platform sales, segment sales, and the number of units sold for each product across different companies in the market. Additionally, it provides pricing information for products sold through different channels, categorized into:

- Website (company & partners)
- Social media
- Modern Trade
- Retailers



Figure 10 The sales information available under the Market Research

2.5 Communication Mix

a. Platform Budgeting

In this section, participants are tasked with strategically allocating budget percentages across different platforms, including Google - Email – Website, Social Commerce, Modern Trade, and Retailers. Each platform offers distinct benefits and targets specific audience segments.

The goal is to maximize reach and engagement while considering factors such as costs, potential returns, and audience preferences. Participants must carefully assess these aspects to determine the optimal allocation that ensures effective utilization of resources and achieves the desired outcomes.

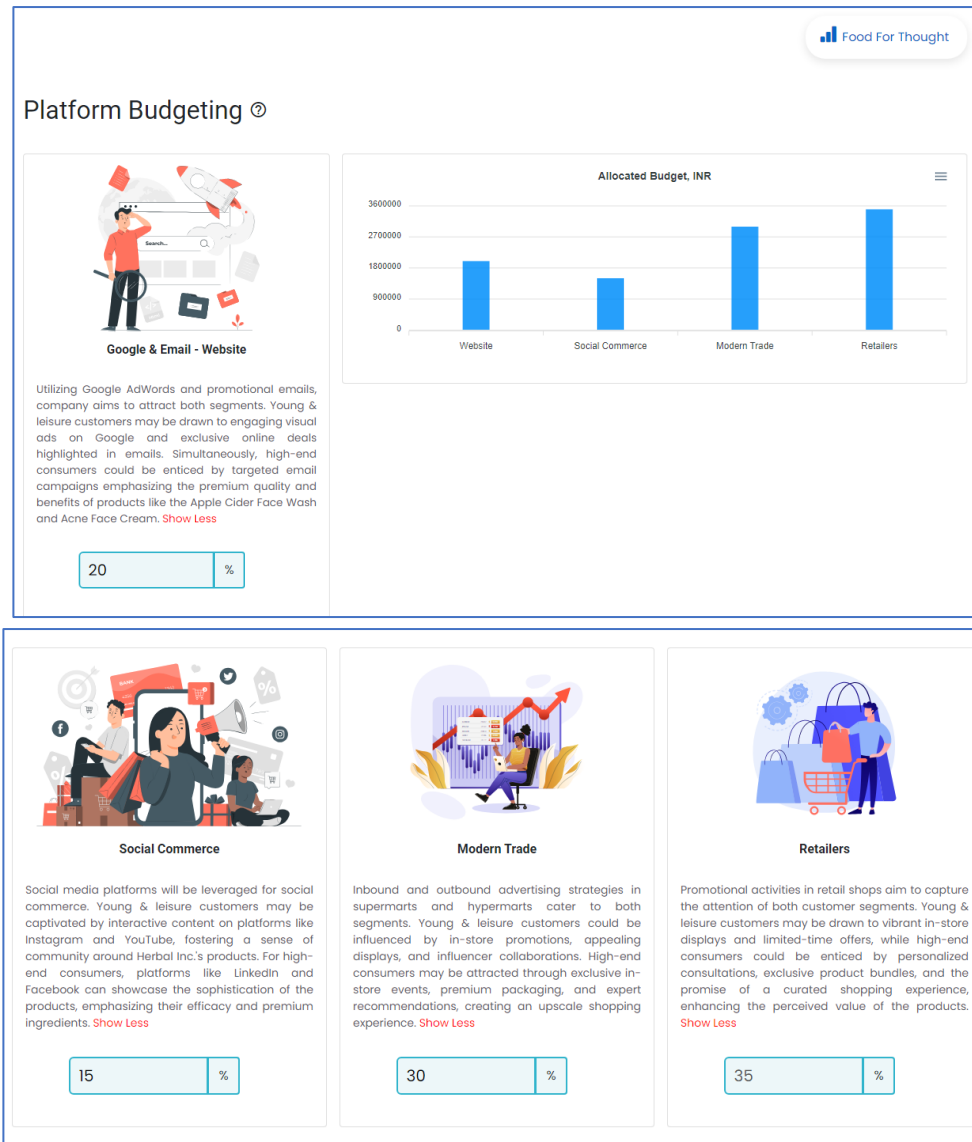


Figure 11 The Platform Budgeting Decision Area in the Platform

b. Social Commerce Budgeting

In this section, participants are tasked with determining the budget allocation for different social media platforms, including Facebook, Instagram, Twitter, LinkedIn, and YouTube. When making this decision, participants must consider how each of these platforms contributes to marketing goals and strategize the optimal budget distribution to maximize returns and audience engagement.

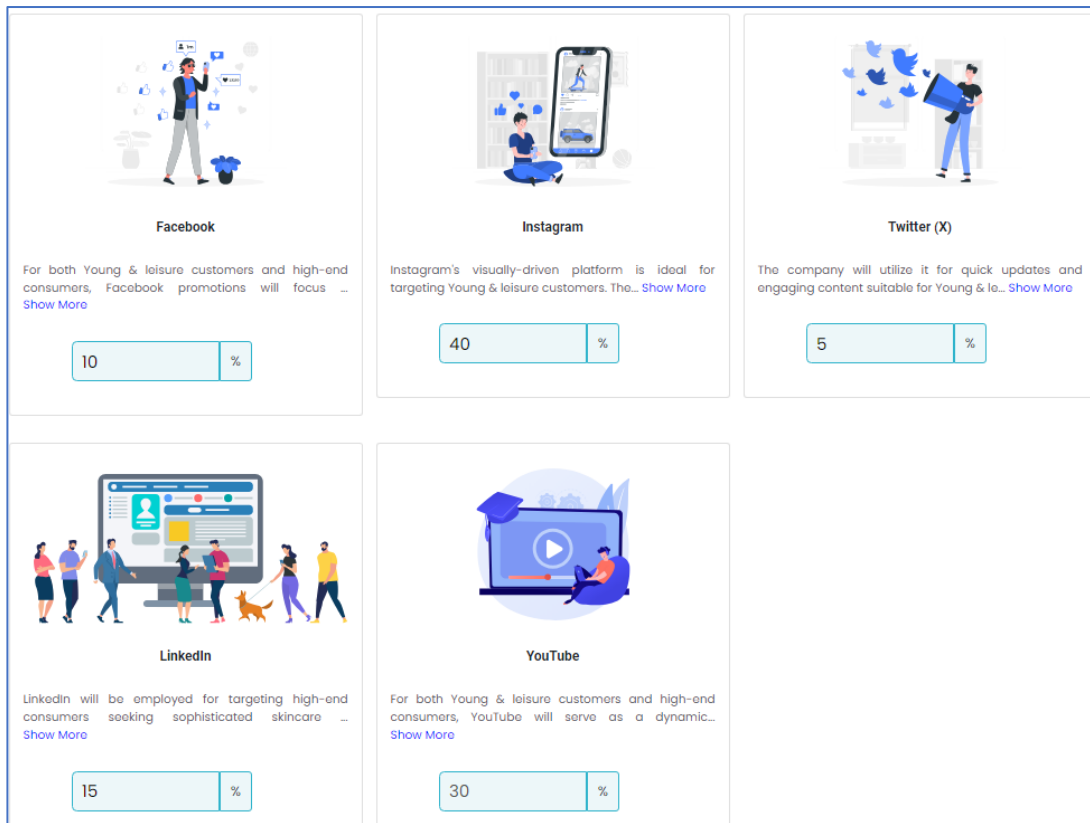


Figure 12 The Social Commerce Budgeting Decision Area in the Platform

2.6 Campaigns

The participant has to decide on the most suitable campaign tailored to the target audience, focusing on boosting engagement and conversion rates.

a. Website

In this section, participants are presented with a selection of campaigns including exclusive online deals, premium efficacy showcase, and seasonal skincare bundles. Detailed descriptions of each campaign are provided within the platform. Participants must carefully assess which campaign best aligns with their audience, taking into consideration factors such as campaign cost, engagement rate, conversion rate, click-through rate, and other relevant metrics.

Website ?

 Exclusive Online Deals Engagement Rate: 3% to 6% Conversion Rate: 2% to 4% Click-Through Rate (CTR): 4% to 8% Average Order Value (AOV): Rs. 400 to Rs 600 Google AdWords and targeted email campaigns will spotlight exclusive online deals on the company's website, enticing Young & leisure customers with budget-friendly options. Ad copies will highlight limited-time discounts on bundles containing the Apple Cider Face Wash and Acne Face Cream, strategically impacting impulse purchases and driving online sales. Show Less Cost, INR 500000	 Premium Efficacy Showcase Engagement Rate: 2.5% to 5% Conversion Rate: 1.5% to 3% Click-Through Rate (CTR): 3% to 6% Average Time Spent on Page: 1.5 to 3 minutes Through Google AdWords and email newsletters, Herbal Inc. will run a campaign highlighting the premium efficacy of the Apple Cider Face Wash and Acne Face Cream. Ad copies will emphasize the high-end ingredients, advanced formulations, and proven results, directly appealing to the discerning taste of the high-end consumer segment. Show Less Cost, INR 600000	 Seasonal Skincare Bundles Engagement Rate: 3% to 7% Conversion Rate: 2.5% to 5% Click-Through Rate (CTR): 5% to 9% Percentage of Bundle Sales: 20% to 35% Google AdWords and email promotions will introduce limited-edition seasonal skincare bundles, combining the Apple Cider Face Wash and Acne Face Cream with complementary products. This campaign targets both consumer segments, offering Young & leisure customers a curated skincare routine at an attractive price point and providing high-end consumers with an exclusive, luxury skincare experience. Show Less Cost, INR 800000
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Figure 13 The website campaigns decision area in the platform

b. Social Commerce

In the social commerce section, participants are offered a variety of campaigns including community engagement series, flash sales and trending topics, visual storytelling, and influencer collaborations, among others. Each campaign is described in detail within the platform. Participants are tasked with evaluating which campaign is most suitable for their audience, considering factors such as campaign cost, engagement rate, conversion rate, click-through rate, and other pertinent metrics.

c. Modern Trades

The participants are tasked with choosing the campaign that best aligns with their goals and audience aimed at boosting visibility and sales. Each campaign presents distinct benefits, leading to different cost, conversation and engagement rates. Some campaigns aim to attract more customers through interactive shopping experiences, while others offer limited exclusive collections or focus on improving brand loyalty by introducing loyalty programs.

Social Commerce ②

 Community Engagement Series Engagement Rate: 4% to 8% Conversion Rate: 2.5% to 5% Click-Through Rate (CTR): 6% to 10% Live Session Viewership: 500 to 1,000 participants per session The company initiates a community engagement series on Facebook, focusing on the benefits of the Apple Cider Face Wash and Acne Face Cream. Live Q&A sessions with skincare experts, user testimonials, and behind-the-scenes glimpses will encourage Young & leisure customers to interact with the brand. High-end consumers will appreciate the transparency and expertise showcased in the content. Show Less Cost, INR 180000	 Flash Sales and Trending Topics Engagement Rate: 3.5% to 7% Conversion Rate: 2% to 4% Click-Through Rate (CTR): 5% to 9% Flash Sale Participation: 300 to 500 participants per sale On Twitter (X), Herbal Inc. executes flash sales linked to trending beauty topics, capturing the attention of Young & leisure customers who actively seek real-time content. The platform's quick-paced nature is utilized to announce limited-time offers and promote product awareness. High-end consumers benefit from concise updates and exclusive flash sales, aligning with their desire for curated content. Show Less Cost, INR 200000	 Visual Storytelling and Influencer Collaborations Engagement Rate: 5% to 9% Conversion Rate: 2.5% to 5% Click-Through Rate (CTR): 7% to 11% Influencer Collaboration Impact: 20% to 30% increase in product mentions Instagram becomes a visual storytelling hub for Herbal Inc. Dynamic content, including visually appealing product shots, user-generated content, and collaborations with beauty influencers, caters to both Young & leisure customers and high-end consumers. The platform's aesthetics reinforce the brand's commitment to natural beauty. Show Less Cost, INR 250000
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Figure 14 The Social commerce decision area in the platform

Modern Trades ②

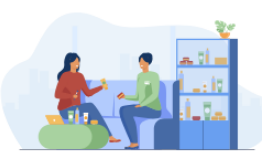
 In-Store Skincare Workshops Engagement Rate: 4% to 7% Conversion Rate: 2.5% to 5% Workshop Attendance: 100 to 150 participants per session Customer Feedback Participation: 30% to 40% Implement skincare workshops in modern trade settings, providing educational sessions on the benefits of the Apple Cider Face Wash and Acne Face Cream. Targeting both Young & leisure customers and high-end consumers, these workshops create an interactive shopping experience. Young & leisure customers benefit from hands-on learning, while high-end consumers appreciate the expert insights and personalized advice. Show Less Cost, INR 750000	 Limited-Edition In-Store Bundles Engagement Rate: 3.5% to 6% Conversion Rate: 2% to 4% Percentage of Bundle Sales: 15% to 25% In-Store Exclusive Offer Redemption: 200 to 300 redemptions Launch limited-edition bundles exclusive to modern trade outlets, combining the Apple Cider Face Wash and Acne Face Cream with complementary products. Young & leisure customers are drawn to the value, while high-end consumers appreciate the curated selections and exclusive offerings available only in-store. Show Less Cost, INR 500000	 Loyalty Points Bonanza Engagement Rate: 4% to 7% Conversion Rate: 2.5% to 5% Loyalty Sign-Up Rate: 20% to 30% Redemption Rate: 10% to 15% Introduce a loyalty points program tied to purchases of Herbal Inc. products in modern trade. This campaign appeals to both consumer segments, with Young & leisure customers enticed by the prospect of redeemable rewards and high-end consumers appreciating the added value and recognition for their premium purchases. Show Less Cost, INR 550000
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Figure 15 Modern Trades Campaign decision area in the platform

d. Retailers

In this section, participants are assigned the responsibility of choosing campaigns tailored for retailers. Key considerations for selecting the campaign include its alignment with the customer base and its potential to enhance partnerships between the company and retailers. Additionally, participants should factor in engagement, conversion rate, and other metrics provided within the platform to make an informed decision.

Retailers 📍



In-Store Pop-Up Events

Engagement Rate: 3.5% to 6%
 Conversion Rate: 2% to 4%
 Event Attendee Participation: 120 to 200 participants per event
 Coupon Redemption Rate: 10% to 15%

Organize in-store pop-up events in collaboration with retailers, offering product demonstrations, free samples, and exclusive discounts. This campaign caters to both Young & leisure customers and high-end consumers, providing a tangible and engaging brand experience. Young & leisure customers are drawn to the interactive elements, while high-end consumers appreciate the exclusivity of in-store events. [Show Less](#)

Cost, INR 700000



Shelf-Edge Informational Displays

Engagement Rate: 3% to 5.5%
 Conversion Rate: 1.5% to 3%
 Time Spent Interacting with Displays: 2 to 3.5 minutes
 Purchase Decision Impact: 25% to 35%

Implement informational displays at retailer shelves, providing detailed insights into the natural ingredients, benefits, and usage of the Apple Cider Face Wash and Acne Face Cream. Both consumer segments benefit from the informative content, aiding purchase decisions for Young & leisure customers and reinforcing the premium quality for high-end consumers. [Show Less](#)

Cost, INR 650000



Retailer Exclusive Promotions

Engagement Rate: 3% to 6%
 Conversion Rate: 2% to 4%
 Redemption Rate of Exclusive Offers: 12% to 18%
 Average Basket Size Increase: 10% to 20%

Collaborate with retailers to launch exclusive promotions, such as bundled offers, discounts, or gifts with purchase. Targeting both Young & leisure customers and high-end consumers, this campaign adds value to the shopping experience. Young & leisure customers are enticed by cost-effective bundles, while high-end consumers appreciate the exclusive deals that align with their premium preferences. [Show Less](#)

Cost, INR 800000

Figure 16 The campaigns for Retailers in the platform

2.7 Channels

a. Margin

In this section, participants are tasked with determining the appropriate margins to offer for each of the three channels such as online, modern trade, and retail. Margins play a critical role across these channels, sustaining e-commerce platforms and supporting marketing efforts on various social media platforms. Modern trade, comprising large supermarket chains and hypermarkets, relies on margins to cover operational costs, shelf space fees, and promotional activities. Similarly, independent retailers, such as small shops or specialty stores,

depend on margins to sustain their businesses. It is essential to provide retailers with reasonable margins to incentivize them to stock and actively promote products.

When adjusting margins, participants must consider striking the optimal balance between profitability and competitiveness on each channel, aiming for a win-win situation for both the company and its channel partners. Additionally, they should contemplate whether the set margins adversely affect the perceived value of the products.

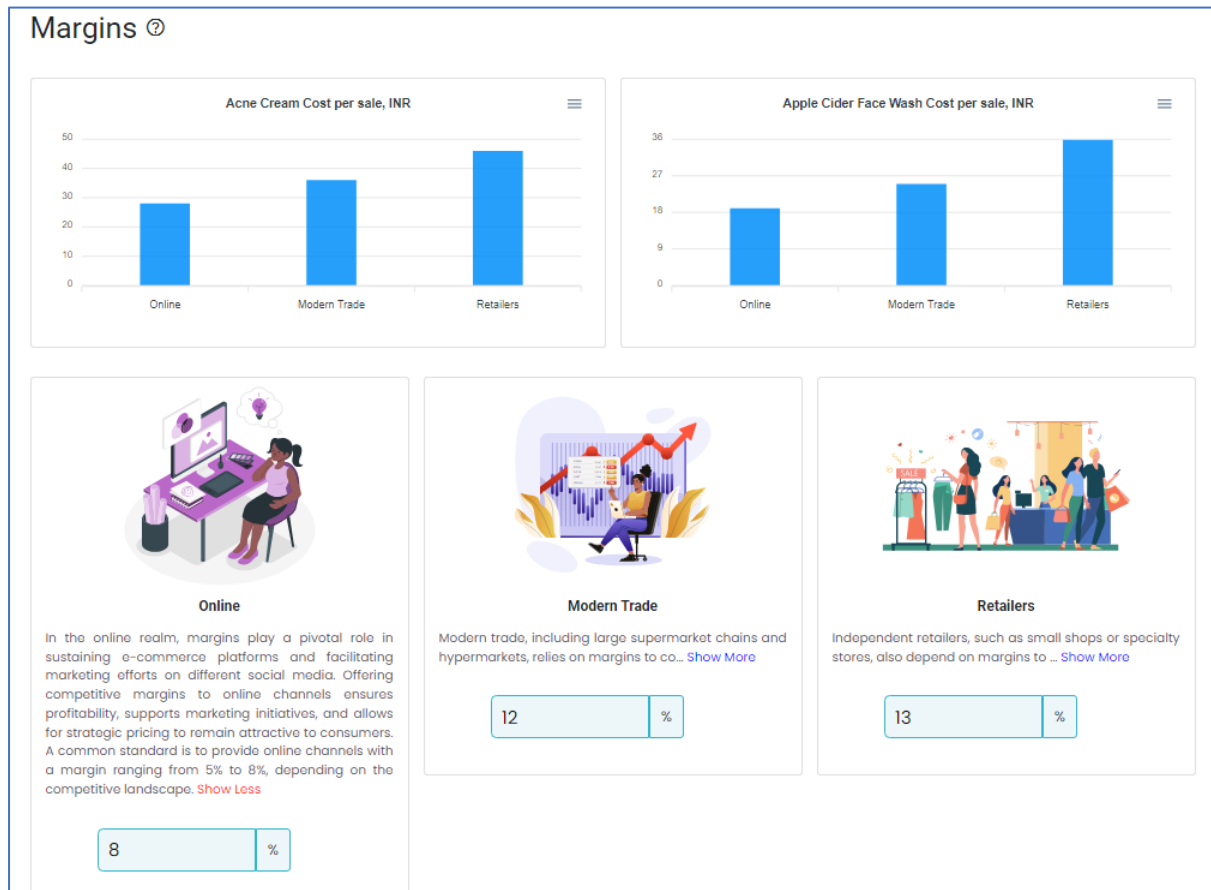


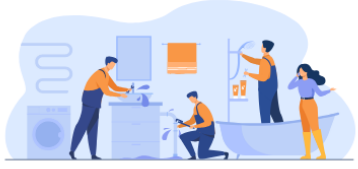
Figure 17 The channel's margin decision area in the platform

b. A/B Testing

In this section, participants are provided with the chance to conduct A/B Testing to determine the most suitable platforms for reaching the target audience and where A/B testing can significantly impact the improvement of Key Performance Indicators (KPIs). A/B testing involves comparing two versions (A and B) of a webpage, app, or marketing campaign to determine which one performs better. It allows participants to make data-driven decisions regarding platform selection and optimization strategies.

c. Product Focus

Product Focus ⓘ

 Acne Face Cream The Acne Face Cream, on the other hand, is a specialized solution designed for targeted skincare. Despite having slightly lower volume sales in the last period, it stands out for its higher margins, offering a lucrative opportunity for profit maximization. The cream's premium quality, coupled with its efficacy in addressing specific skincare needs, positions it as a valuable choice for discerning consumers. Choosing to focus on the Acne Face Cream allows for a strategic emphasis on profitability and appeals to a niche market seeking specialized skincare solutions. Show Less Gross Margin 55%	 Apple Cider Face Wash The Apple Cider Face Wash is a powerhouse of natural ingredients meticulously curated to cleanse, purify, and rejuvenate the skin. Last period saw remarkable volume sales, with its gentle yet effective formula resonating well with a wide consumer base. Its popularity is attributed to its refreshing fragrance, natural composition, and the promise of a radiant, blemish-free complexion. Focusing on the Apple Cider Face Wash could tap into the momentum of its existing popularity and cater to the broader market segment, ensuring a steady stream of sales. Show Less Gross Margin 45%
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In this section, participants must strategically determine which product or products to position in the market.

Figure 18 Product focus decision area in the Platform

When selecting the product focus, participants should consider which products contribute most effectively to achieving the company's long-term goals, while also aligning with current market trends and consumer preferences.

2.8 Decision checklist

The Decision Checklist helps participants review and finalize their decisions. Once decisions are confirmed, they can submit them using the "Submit" option and choose [save and proceed](#). It's important to remember that once decisions are submitted and saved, they cannot be changed for that round. This ensures that decisions are carefully considered before finalization, promoting clarity and accountability in the decision-making process.

Decision Checklist

Round 1

usertest18

Communication Mix	
Website, Budgeting	30%
Social Commerce, Budgeting	20%
Modern Trade, Budgeting	20%
Retailers, Budgeting	30%
Facebook, Budgeting	30%
Instagram, Budgeting	20%
Twitter, Budgeting	30%
LinkedIn, Budgeting	10%
YouTube, Budgeting	10%
Campaigns	
Website	Exclusive Online Deals
Social Commerce, Community Engagement Series	Yes
Social Commerce, Flash Sales and Trending Topics	Yes
Social Commerce, Visual Storytelling and Influencer Collaborations	Yes
Social Commerce, Expert Insights and Premium Skincare Journey	Yes
Social Commerce, Tutorial Series and Influencer Reviews	Yes
Modern Trade	Limited-Edition In-Store Bundles
Retailers	In-Store Pop-Up Events
Channels	
Website, A/B Testing	No
Social Commerce, A/B Testing	Yes
Modern Trade & Retailers, A/B Testing	Yes
Online Channel, Margin	20%
Modern Trade Channel, Margin	15%
Retailers Channel, Margin	22%
Product Focus, Acne Face Cream	Yes
Product Focus, Apple Cider Face Wash	No

Submit

Help

"You are submitting your decisions as the final decision. Do you want to save and proceed with reports?"

Close

Save & Proceed

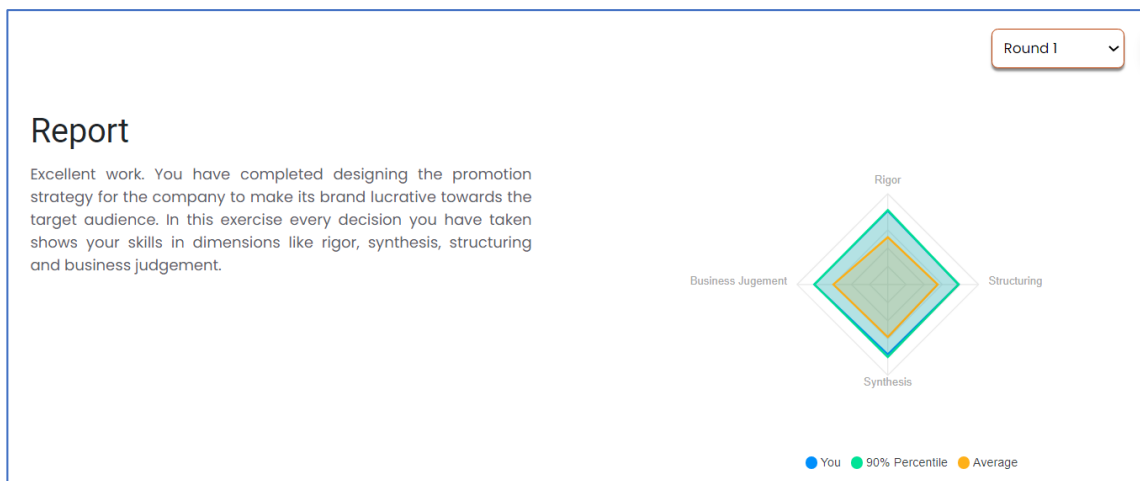
Figure 19 The decision checklist

2.9 Report

- The report section provides the details on the participants' critical thinking abilities in each aspect. It demonstrates how their thought process influenced the outcomes, providing insights into the impact of their decision-making skills.

This section consists of feedback on the performance of the participant based on four metrics.

- Rigour: Consistency throughout the decision-making and recommendation.
- Structuring: Logical approach of gathering and analysing information
- Synthesis: Approach towards interpreting information and making informed decisions
- Business Judgement: Ability to evaluate facts, and consider risks and possible implications when making decisions.



The report presents the scores attained based on the decisions made, showcasing product sales, segment sales, and platform sales across four platforms: website, social commerce, modern trade, and retailers. This data is provided for the two segments: young-leisure and high-end consumers, as well as for the individual products.

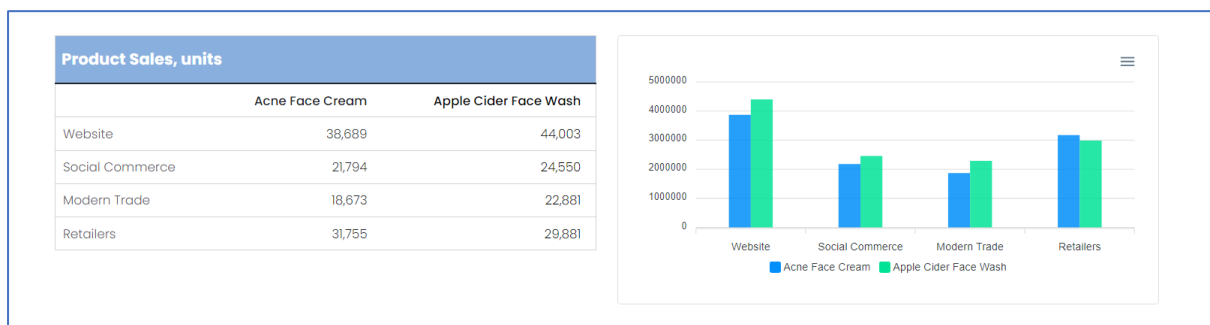


Figure 18 The report section in the platform

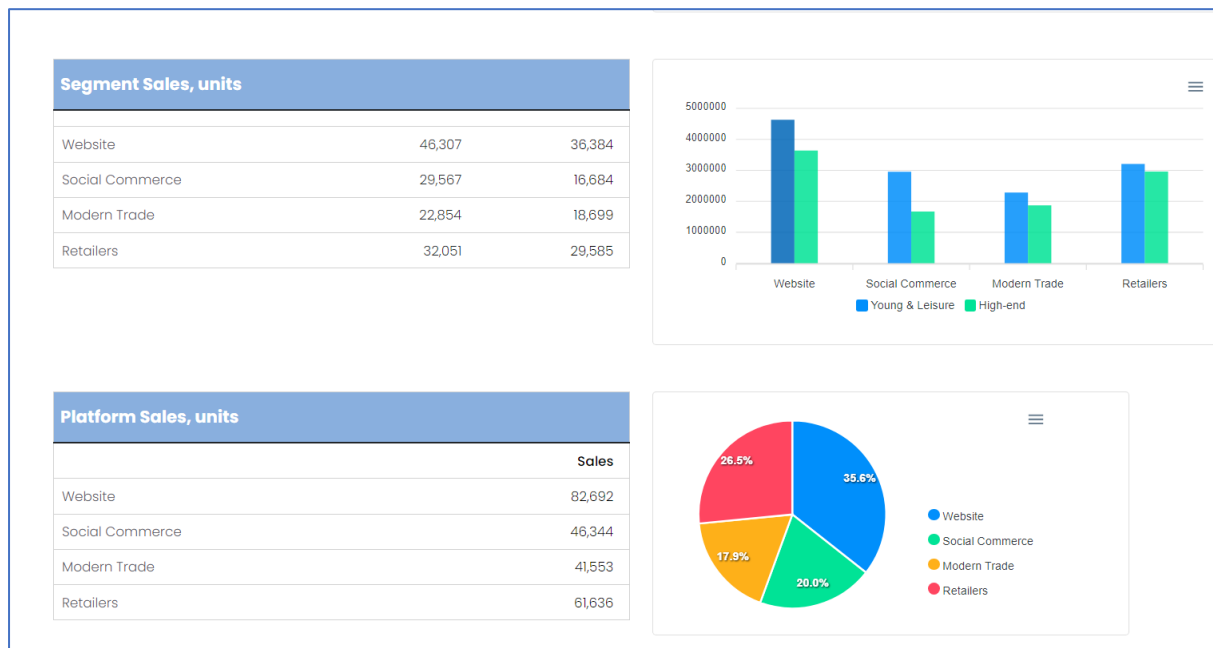


Figure 19 The report section in the Platform

The report section also provides details on the total promotion cost incurred for various activities, along with information on operating income. Participants can view the Key Performance Indicators (KPIs) they have achieved for the simulation, including Operating Margin and Return on Advertising Spend (ROAS). Operating Margin measures the profitability of a company by assessing the proportion of revenue left after covering operating expenses, while Return on Advertising Spend (ROAS) evaluates the effectiveness of advertising campaigns by comparing the revenue generated with the amount spent on advertising.

Promotion Cost, INR		Operating Income, INR	
Communication Mix Cost	10,000,000	Revenue	68,683,787
Campaign Creation Cost	3,030,000	Variable Cost	33,885,184
A/B Testing Cost	1,360,000	Gross Profit	34,798,602
Channel Cost	13,418,710	Promotion Cost	27,808,710
Total Cost	27,808,710	Operating Profit/Loss	6,989,892

KPI	
Operating Margin	10%
ROAS	35%

Figure 20 The report section that displays the KPI

2.10 Synopsis

The synopsis section provides a condensed overview of the key decision areas and outcomes, highlighting critical insights and strategic directions taken during the simulation. It offers participants a quick reference point to grasp the essence of their decisions and their impact on the key performance indicators thus aiding in holistic understanding and future planning.

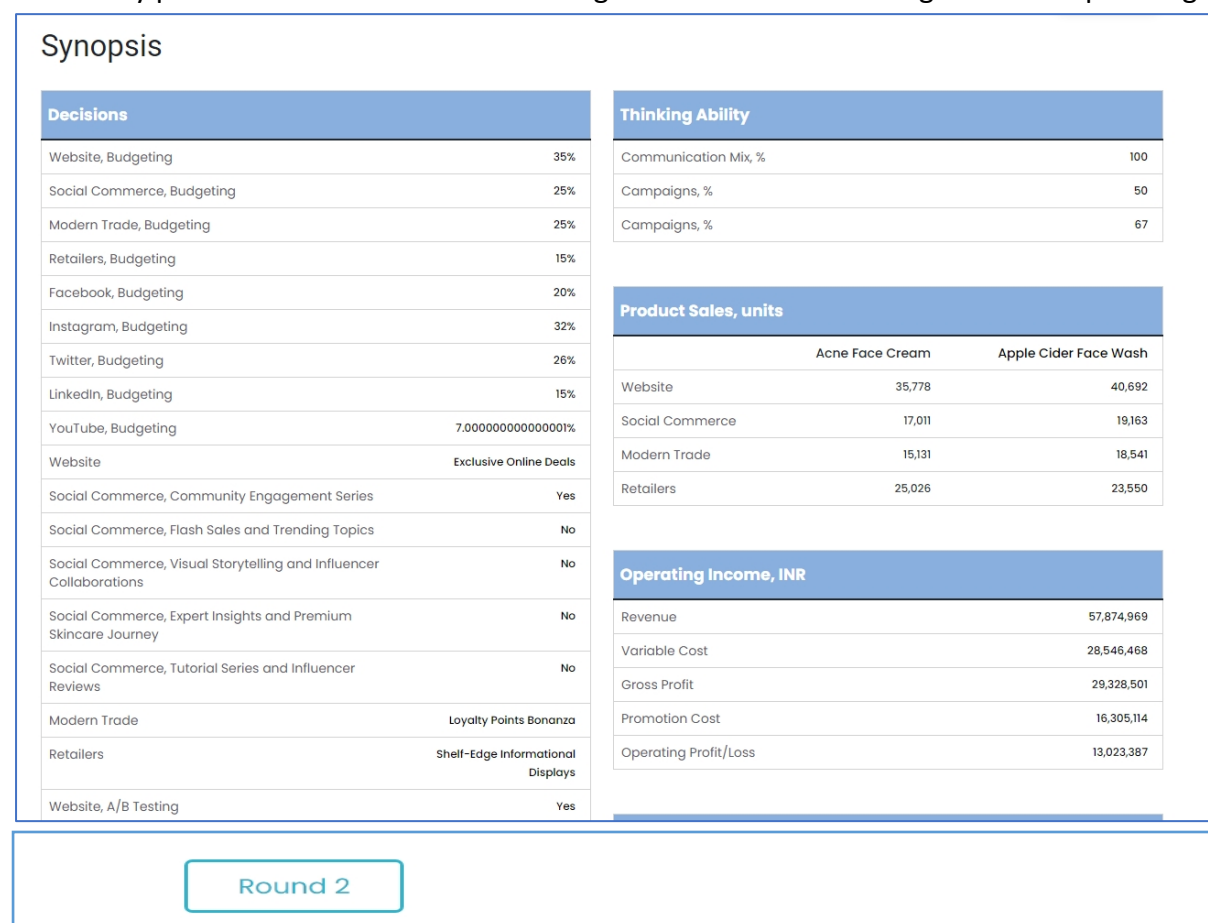


Figure 21 The Synopsis Tab

To proceed to the next round, click on the “next round” at the bottom of the synopsis section. This will redirect participants to the home page, where they can access the next round by clicking on the corresponding card.

2.11 One Ideal Solution

It's important to recognize that there are many possible combinations that can help participants achieve the desired outcomes. The solution provided below is merely one example for faculty reference and is not meant for direct communication with participants.

Communication Mix	
Website, Budgeting	40%
Social Commerce, Budgeting	20%
Modern Trade, Budgeting	10%
Retailers, Budgeting	30%
Facebook, Budgeting	10%
Instagram, Budgeting	45%
Twitter, Budgeting	5%
LinkedIn, Budgeting	5%
YouTube, Budgeting	35%
Campaigns	
Website	Premium Efficacy Showcase
Social Commerce, Community Engagement Series	No
Social Commerce, Flash Sales and Trending Topics	No
Social Commerce, Visual Storytelling and Influencer Collaborations	No
Social Commerce, Expert Insights and Premium Skincare Journey	No
Social Commerce, Tutorial Series and Influencer Reviews	Yes
Modern Trade	In-Store Skincare Workshops
Retailers	Retailer Exclusive Promotions
Channels	
Website, A/B Testing	Yes
Social Commerce, A/B Testing	No
Modern Trade & Retailers, A/B Testing	No
Online Channel, Margin	9%
Modern Trade Channel, Margin	10%
Retailers Channel, Margin	15%
Product Focus, Acne Face Cream	Yes
Product Focus, Apple Cider Face Wash	No

3. Implementation – Methodologies

From our experience, we have seen Professors using two different teaching plan options. Option A is for the one who is pressed on time while option B offers a chance to participants to use the module multiple times and learn from their past decisions.

Option A

To begin, the instructor should introduce the module with the walkthrough video, explaining to the students all the different decision-making points involved in the module and how to connect them with one another (with the use of teaching notes provided by Cesim). The instructor should then provide the opportunity for the students to play the module by

themselves. The students can play the module within a team or individually. Once the module is over, the instructor can quickly review the decision-making made by the students along with the results they achieved. The instructor can compare the results of different students across the module and then debrief them while driving a discussion in the class.

1. Introduction (5 minutes)
2. Run Simulation (30 to 35 minutes)
3. Debrief (10 minutes)
4. Conclusion (8 to 10 minutes)

Option B

To begin, the instructor should introduce the module with the walkthrough video, explaining to the students all the different decision-making points involved in the module and how to connect them with one another (with the use of teaching notes provided by Cesim). The instructor should then provide the opportunity for the students to play the module by themselves. The students can play the module within a team or individually. The instructor should debrief them in short. The instructor should ask the students to play the module again with the same scenario or if they want to change some parameters that can be done. The students again played the module and completed it.

Once the module is complete the instructor can quickly review the decision-making made by the students along with the results, they achieved across the rounds to compare their

progress, trends, and approach towards the module. The emphasis of this plan is to let the students play the module multiple times so they can learn from their previous rounds.

The instructors generally ask students to play the module 3 times, whereas the 3rd time is for inculcating concepts.

1. Introduction (5 minutes)
2. Run Simulation (30 to 35 minutes)
3. Debrief (10 minutes)
4. Run Simulation (30 to 35 minutes)
5. Conclusion (8 to 10 minutes)
- I Run Simulation (self-paced at their own time)
7. Short Presentation & Takeaway

3.1 Concepts that can be Covered

I Promotion Strategy

- A promotion strategy is a plan for communicating the value of a product or service to customers, with the goal of influencing their buying decision.
- It aims at Increasing the brand awareness, generate sales leads, encourage repeat purchases, or enhance brand loyalty.
- **Components:** It includes advertising, sales promotions, public relations, direct marketing, and personal selling.
- Marketing managers must always begin by identifying the target market and understanding buyer motives. This helps shape the foundation for an effective advertising strategy.

II The "Five Ms" of advertising

1. **Mission:** Define the advertising objectives.
 - What do we want to achieve through this campaign? Objectives could range from increasing brand awareness, boosting sales, launching a new product, or driving customer engagement. Each goal should be specific, measurable, and aligned with the overall marketing strategy.

2. **Money:** Determine the budget.

- How much are we willing to spend, and how should this budget be allocated across various media channels? Considerations include the cost-effectiveness of each channel, expected reach, and return on investment (ROI). Proper budget allocation ensures resources are used efficiently to maximize impact.

When determining advertising budgets, several key factors come into play:

- **Stage in the Product Life Cycle:** New products often require larger advertising budgets to build awareness and encourage consumer trial, while established brands generally need lower budgets relative to sales.
- **Market Share and Consumer Base:** Brands with a high market share typically spend less on advertising as a percentage of sales to maintain their position, while growing market share or expanding the market requires higher expenditure.
- **Competition and Clutter:** In highly competitive markets with heavy advertising, brands must spend more to stand out amid the clutter of competing messages.
- **Advertising Frequency:** The number of repetitions needed to communicate the brand's message affects the size of the advertising budget.
- **Product Substitutability:** Products with little differentiation or in commoditized categories (e.g., soft drinks, airlines) require more advertising to create a unique brand image.

3. **Message:** Craft the core message.

What is the key takeaway of the campaign, and how should it resonate with the target audience? The message should be clear, consistent, and aligned with the brand's values, while addressing the needs and emotions of the audience. It should also highlight the unique selling proposition (USP) of the product or service.

4. **Media:** Choose the media channels.

Which platforms are best suited to reach the target market? Media selection includes traditional channels (TV, radio, print) and digital platforms (social media, search engines, websites). The goal is to select media that helps achieve the desired reach, frequency, and impact.

5. **Measurement:** Evaluate the campaign's success.

How will we track and assess the effectiveness of the advertising program? Metrics may include sales lift, brand recall, customer engagement, or return on ad spend (ROAS). Regular evaluation allows for optimization and adjustment of the strategy to ensure ongoing success.

III Developing a Brand Positioning Strategy

- At the core of any marketing strategy is segmentation, targeting, and positioning (STP). Companies identify different consumer needs and groups in the market, target the segments they can serve best, and position their offerings to stand out in the minds of their target audience.
- To compete more effectively, many companies are shifting towards target marketing. Rather than spreading their marketing efforts broadly, they concentrate on those consumers they are most likely to satisfy.
- By doing so, they create customer advantages, delivering high value and satisfaction, which can lead to increased repeat purchases and higher profitability.
- **Positioning** is about designing a company's products or services and crafting its image so that it occupies a unique and valuable place in the minds of the target market. The aim is to establish the brand in consumers' minds in a way that maximizes benefits to the company.
- A strong brand positioning provides direction for the marketing strategy. It defines the brand's essence, outlines the consumer goals it helps achieve, and shows how it does so in a unique manner. To effectively position a brand, marketers must communicate both the similarities and differences between their brand and its competitors.
- To create a compelling brand position, marketers need to:
 1. **Choose a Frame of Reference:** Identify the target market and relevant competitors.
 2. **Define Points of Parity and Points of Difference:** Identify key brand associations that match or surpass those of competitors.

3. **Develop a Brand Mantra:** Summarize the brand's positioning and core essence in a concise and compelling statement.

IV The Role of Digital Channels and Social Media in Marketing

- **Digital Channels:**
 - Fastest-growing means for communicating and selling directly to customers.
 - The internet enables greater interaction and personalization.
 - Most marketing programs require a meaningful digital component.
- **Paid vs. Earned Media:**
 - **Paid Media:** Company-driven advertising, publicity, and promotions.
 - **Earned Media:** PR, word-of-mouth, and social media conversations about the brand.
 - Social media plays a crucial role in generating earned media.
- **Social Media in Marketing:**
 - Platforms like Facebook, Twitter, and YouTube allow brands to engage with consumers.
 - Brands can build online communities and foster public conversations.
 - Social media can enhance other communication efforts.
- **Engaging Consumers Through Social Media:**
 - Social media allows for deeper engagement with brands.
 - May not always attract new customers or drive brand penetration.
 - Consumers are more likely to engage with media, charities, and fashion brands rather than consumer goods. A smaller percentage of consumers seek two-way conversations with brands.
- **Building a Strong Online Presence:**
 - A thoughtful approach to social media helps build brand loyalty.
 - Loyal customers can defend the brand and counter negative feedback.
 - Brands should embrace both the benefits and challenges of social media to create a credible and engaged online community.

V Marketing Channels and Value Networks

- Sets of interdependent organizations involved in making a product or service available for consumption.

- Pathways a product follows from production to purchase and use by the final consumer.

Types of Intermediaries

- **Merchants:** Wholesalers and retailers who buy, take title to, and resell merchandise.
- **Agents:** Brokers, sales agents, and manufacturers' representatives who search for customers and negotiate but do not take title to goods.
- **Facilitators:** Entities like transportation companies, independent warehouses, banks, and advertising agencies that assist in distribution without taking title or negotiating sales.

Channel Decisions Influence Other Marketing Aspects

- **Pricing Strategy:** Depends on the type of channel used (e.g., online discounters vs. high-quality boutiques).
- **Sales Force & Advertising:** Determined by the training and motivation needs of dealers.
- **Long-Term Commitments:** Channel choices involve commitments to other firms, affecting policies and procedures.
- **Marketing Strategies:**
 - Push Strategy: Uses the sales force and trade promotions to induce intermediaries to sell products. Effective when:
 - Brand loyalty is low.
 - Purchase decisions are made in-store.
 - Product benefits are easily understood.
 - Pull Strategy: Relies on advertising and promotion to create consumer demand, encouraging intermediaries to order products. Effective when:
 - Brand loyalty is high.
 - Consumers perceive brand differences.
 - Brand choice is made before visiting the store.
- Adjusting margins can impact profitability by either increasing short-term sales (via higher channel margins) or retaining more profit for the company.
- Competitiveness is strengthened by offering margins that motivate channel partners to push the company's products over competitors.
- A win-win situation involves aligning incentives through performance-based margins, cooperative marketing, data sharing, and exclusive offers, ensuring both the company and its channel partners are profitable and motivated.

3.2 Case Customization

The case can be customized based on the faculty's requirements, providing the flexibility to enable or disable specific decision tabs within each module. Additionally, various parameters, such as market, financial statements, etc., can be adjusted to meet specific needs.

3.3 Suggested Discussion Starters

1. What factors should marketers consider when allocating a budget for promotional activities across different media channels?
2. How can brands effectively communicate their value to new versus repeat customers through promotions?
3. How does the stage of a product's life cycle influence its promotional strategy?
4. How do the advertising goals of new brands differ from established brands in competitive markets?
5. What strategies can brand use to differentiate themselves in highly competitive markets?
6. How should a brand identify its points of parity and points of difference when competing against larger, established players?
7. How can companies effectively integrate digital channels into their broader marketing strategies?
8. In what ways can brands engage their online communities to foster brand loyalty and manage negative feedback on social media?
9. What are the challenges of using social media as a primary communication channel for consumer engagement, and how can brands overcome them?
10. What are the potential risks and rewards of using multiple distribution channels (e.g., wholesalers, online platforms) simultaneously, and how does it affect profitability?